

Amazon.com, Inc.

AMZN NASDAQ

Buy **\$261.31** ▼ **0.51%** 12M Price Target **\$310.00** 52-Week Range **\$196.00 – \$287.20**

Market Cap
\$2.82T

AMZN: Cooling Off After Run, But AI+Retail Story Intact

WHAT HAPPENED

- AMZN is drifting lower for the 5th session in a row — down from \$272 to \$261 (about 4% off the recent high). This isn't a "something broke" move; it's profit-taking after the stock ran to \$287 earlier this summer. The tell: options flow is still screaming bullish (put/call of 0.44 means traders are buying 2.3x more calls than puts) with massive call buying at \$237-\$247 strikes — smart money is positioning for a bounce, not a breakdown.
- Einride/Tesla Semi deal is quietly interesting — those trucks are going into Amazon's freight network. Small headline, but it signals Amazon is still aggressively electrifying logistics, which matters for margins long-term.

WHY IT MATTERS

The Bezos \$346M insider sale on Aug 3 near the \$286 top looks less like "the CEO knows something bad" and more like a pre-scheduled 10b5-1 sale (he's been selling in tranches all year to fund Blue Origin) — but it did cap the stock's momentum. Meanwhile, the Alexa+ shopping narrative is the sleeper catalyst nobody's pricing in: if Amazon can convert even 10% of Prime households to voice-driven purchases, that's a margin uplift because it cuts out ad-driven price comparison shopping. The bigger picture — AWS is the real story. Every dollar of enterprise AI spend increasingly flows through hyperscalers (AWS, Azure, GCP), and the recent yahoo piece framing "hyperscalers vs. memory chips" tells you where fund flows are heading. Watch for AWS growth acceleration in Q3 earnings — that's the number that either sends this to \$290+ or keeps it stuck at \$260.

POLICY & POLITICAL WATCH

Two policy items to watch: (1) The FTC antitrust case against Amazon is still grinding through court — a 2026 ruling forcing divestiture of the logistics arm is the tail risk, but the current administration has signaled a lighter touch on Big Tech breakups, which is a quiet tailwind. (2) Tariffs on Chinese goods remain elevated under the current trade regime — this squeezes Amazon's 3P sellers (third-party marketplace merchants) who source from China, but Amazon actually benefits on the margin because it pushes sellers to use Amazon's own logistics and advertising to stay profitable. Also worth watching: the federal AI procurement push — AWS GovCloud is positioned to eat a huge share of any expanded government AI cloud spending.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$261.31
12M Price Target	\$310.00
Upside / (Downside)	+18.6%
Market Cap	\$2.82T
FY2026E Revenue	\$745M
FY2027E Revenue	\$825M
FY2026E EPS	\$7.20
FY2027E EPS	\$8.60
Fwd P/E	36.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$285.00	\$270.00	\$250.00
6 Months	\$310.00	\$285.00	\$240.00
1 Year	\$340.00	\$310.00	\$230.00
2 Years	\$400.00	\$355.00	\$245.00
5 Years	\$550.00	\$450.00	\$300.00
10 Years	\$900.00	\$700.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: AI infrastructure (hyperscalers, memory chips, power/data centers) — enterprise AI budgets are still expanding and the administration's push for domestic AI leadership is a direct policy tailwind.

COOLING OFF: Traditional retail and consumer discretionary — tariff pass-through and cautious consumer spending are pressuring margins for pure-play retailers (Amazon straddles both worlds, which is why it's more resilient).

ROTATION WATCH: Money is rotating from pure-AI plays (like NVDA) into "AI beneficiaries with real cash flow" — that's exactly where AMZN sits, which explains why the pullback has been shallow.

RELATED PLAY: If you like the AMZN story but want more torque, look at data center REITs (DLR, EQIX) and power infrastructure names — AWS's growth directly feeds their revenue.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Azure keeps taking enterprise AI share and Copilot monetization is showing up in the numbers — cleanest AI story with the biggest moat.
- META (Meta Platforms): AI-driven ad targeting is printing money and Reels monetization keeps compounding.

AMZN CONTEXT: AMZN is lagging MSFT and META over the last month — the market is rewarding "pure AI winners with proven monetization" and treating AMZN like a mixed bag because of the retail exposure and antitrust overhang. That lag is actually the opportunity: if AWS growth surprises to the upside next quarter, AMZN closes the gap fast.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$255-262 on pullbacks; add aggressively sub-\$245

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth decelerates below 15% or FTC breakup case gains real traction

Hedging: Small put spread or pair with short QQQ if tech gets frothy